

Creating a Financial Plan

Jonathan R. Bacolod

A **financial plan** is a guide that helps a person manage money wisely.

Income and Expenses

A financial plan includes identifying sources of **income** and estimating **expenses**.

Savings

Savings are the amount of money left after expenses are subtracted from income.

$$\text{Savings} = \text{Income} - \text{Expenses}$$

Budget

A **budget** is a plan showing how money will be spent and saved.

$$\text{Income} = \text{Expenses} + \text{Savings}$$

Examples

Example 1

Maria receives a weekly allowance of ₱500. She spends ₱320 on school needs and snacks. How much can she save?

$$\text{Savings} = \text{₱}500 - \text{₱}320 = \text{₱}180$$

Example 2

John earns ₱1,200. He plans to save 25% of his earnings. How much will he save?

$$₱1,200 \times 25\% = ₱300$$

Example 3

Carlo wants to buy a calculator worth ₱900. If he saves ₱150 each week, how many weeks will it take?

$$900 \div 150 = 6 \text{ weeks}$$

Practice Exercises

Practice 1

A student allocates $\frac{2}{5}$ of a monthly allowance of ₱2,000 for food. How much money is allocated for food?

Practice 2

Sophia's monthly budget is ₱3,600. She spends ₱1,500 on needs and ₱900 on wants. How much is left for savings?

Practice 3

Mark saves ₱80 each week. How much will he save after 12 weeks?

Practice 4

A family earns ₱18,000 per month. They plan to save 15% of their income. How much is their monthly savings?

Practice 5

Jenny's financial goal is to save ₱3,000. She already has ₱1,250 saved. How much more does she need?

Activities

Activity 1

Miguel receives a weekly allowance of ₱600.
He spends ₱380 on school needs and snacks.
How much can he save?

Activity 2

Lea earns ₱1,500 from selling handmade crafts. She plans to save 30% of her earnings. How much will she save?

Activity 3

Carla wants to buy a backpack worth ₱1,200. If she saves ₱200 each week, how many weeks will it take?

Activity 4

A student allocates $\frac{3}{8}$ of a monthly allowance of ₱2,400 for food. How much money is allocated for food?

Activity 5

Rose saves ₱120 each week. How much will she save after 10 weeks?

Activity 6

A family earns ₱22,000 per month. They plan to save 20% of their income. How much is their monthly savings?

Activity 7

Kevin's financial goal is to save ₱4,500. He already has ₱1,800 saved. How much more does he need?

Thank you!